

WRITTEN QUESTIONS (TOTAL: 100 marks)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (15 marks – approximately 27 minutes)

Davy is the landlord of three properties which have been let out to the tenants below for rental income.

Property A has been let to Amy for a term of two years. Amy has paid the rent late by a few days twice. There are two months left in respect of the rental agreement with Amy. Davy wants to get back Property A.

Property B has been let to Betty for a term of one year. Betty has failed to pay the rent for the last few months. Davy also wants to get back Property B.

Property C has been let to Candy for a term of five years. The term has two more years to go. Property C was destroyed by fire in an accident not caused by Candy and it was deemed unsuitable for use afterwards. Substantial reinstatement and renovation are thus required. Due to this, Candy wants to leave Property C and ceases to pay rent for the remaining term (i.e., two years). Davy wants to sue Candy for breach of contract.

Required:

In relation to contract law:

- (a) Explain the various ways to discharge a valid contract.**
(5 marks)
- (b) (i) Analyse whether Amy and Betty were in breach of the contracts they had signed with Davy respectively.**
(3 marks)
(ii) If the answer in part (i) is yes, what are the remedies available to Davy, if any?
(3 marks)
- (c) Analyse how the contract between Candy and Davy was discharged.**

Note: You are not required to discuss the Landlord and Tenant (Consolidation) Ordinance (Cap.7).

(4 marks)

Question 2 (10 marks – approximately 18 minutes)

Apple Limited is a fabric supplier and Banana Limited is a garment manufacturer. Apple Limited and Banana Limited signed a sale of goods contract.

In the sale of goods contract, Banana Limited ordered 10,000 rolls of cotton. 500,000 rolls of cotton were delivered to Apple Limited's warehouse in Hong Kong from mainland China in accordance with the schedule of Apple Limited. 10,000 rolls of cotton were to be delivered to Banana Limited and the remaining fabric was to be delivered to other customers. The fabric to Banana Limited was not yet ascertained. However, before delivery to Banana Limited, all the fabric was destroyed by a fire in Apple Limited's warehouse.

There was no express term as to the intention of passing of the risk and ownership of the fabric in the sale of goods contract.

Required:

In relation to sale of goods law:

Analyse the rules for ascertaining the intention of the parties regarding the transfer of risk and ownership, and apply these rules to the case of Banana Limited.

(10 marks)

Question 3 (15 marks – approximately 27 minutes)

Alpha Construction Limited is a building contractor. Christopher is a project manager of Alpha Construction Limited. His work takes place at a construction site. One day, Christopher was on duty in the construction site and a supplier, David, went to the construction site to deliver building materials. At the main entrance of the construction site, there was a notice with the warning: "All persons who enter this construction site must wear helmets". David ignored the notice and entered the construction site without wearing a helmet. Christopher was working on the fifth floor and he carelessly dropped a plank of wood. The plank of wood hit David's head. David sustained personal injuries and recovered only after being hospitalised for a few months.

Required:

In relation to tort law:

- (a) Analyse the liabilities of Alpha Construction Limited and Christopher in the above case, and analyse whether David can lodge a claim against Alpha Construction Limited and Christopher respectively.**

(10 marks)

- (b) Analyse the defence(s) available to Alpha Construction Limited and Christopher.**

Note: You are not required to discuss the Construction Sites (Safety) Regulations (Cap.59I).

(5 marks)

Question 4 (30 marks – approximately 54 minutes)

ABC Company Limited ("ACL") is a private company incorporated in Hong Kong. It was formed by two persons: Alan and Brian. ACL adopts the Model Articles for Private Companies Limited by Shares based on the Companies (Model Articles) Notice (Cap.622H) with some modifications. There is an objects clause in the articles of association of ACL stating that ACL shall only engage in the electronics business. The articles of association of ACL also provide that a director can only sign a contract up to a limit of HK\$1,000,000 for ACL unless an approval from the board has been obtained in writing.

The corporate governance structure of ACL comprises two directors, namely, Calvin and Brian, and two shareholders, namely, Alan and Brian. Each shareholder owns 5,000 issued shares of a total of 10,000 issued shares of ACL. Due to personal reasons, Alan cannot act as a director of ACL. Alan thus nominates his son Calvin as a director of ACL while the other director is Brian. Calvin and Brian are both validly appointed in accordance with the articles of association and company law. Calvin is a fresh graduate and has no business experience, so Calvin simply follows directions and instructions from his father, Alan, in respect of the business of ACL. Nevertheless, Alan always presents himself as a director of ACL to outsiders and third parties. ACL, Brian, and Calvin have not taken any steps to deny the representation of Alan as a director of ACL.

Alan has a friend, David, who is an experienced property investor. David informed Alan that the property prices might go up soon. Alan had been negotiating a property deal in Hong Kong with David, and Alan believed that the price of the property might go up in the next 10 months. Alan instructed his son, Calvin, to sign a contract for purchasing a property owned by David on behalf of ACL for the sum of HK\$3,000,000. The selling price has been marked up 10% over the market price by David because of his good relationship with Alan. Alan believed that this would be a good opportunity to diversify the business of ACL, and Calvin signed the contract as instructed.

Subsequently, Brian discovered that the board of ACL never approved such a contract. Brian thus believed that the transaction was outside the scope of the objects clause, and Calvin was not authorised by the board of ACL to sign the contract. Therefore, the contract shall not be valid and binding on ACL.

Required:

In relation to company law:

- (a) Analyse whether Alan played the role of a director in ACL even though he had not been formally appointed as one of the directors of ACL.**

(10 marks)
- (b) Analyse whether the limitation in the articles of association of ACL affects the validity of the contract signed by Calvin.**

(15 marks)
- (c) Would your answer to part (b) be different if the property owner, David, acted in bad faith in the transaction and knew the limitation in the articles of association of ACL before signing the contract?**

(5 marks)

Question 5 (15 marks – approximately 27 minutes)

Raymond and Tim are partners of a second hand watch shop. The shop buys and sells luxury watches for profit.

Raymond has a brother, John, who is a full-time tourist guide and works part-time for the shop on sharing profit/ commission basis with no fixed salary. John only works for the shop when he introduces customers to the shop. John has total control of his working time and has no holiday or sickness pay benefits from the shop.

John has many foreign customers who are interested in buying luxury watches. Raymond usually allows John to represent the shop and to give a good discount to these foreign customers. In reliance on the representation of John, many foreign customers have bought luxury watches at a discount. John typically asks for some monetary advantages from these foreign customers in return for the discount. John will share the monetary advantages from the foreign customers with Raymond without the approval and knowledge of Tim.

Recently, Tim discovered the dealings between Raymond and John. It was found that the discount had been given by John to the foreign customers without Tim's approval and knowledge. Tim wanted to take legal action against Raymond and John.

Required:

- (a) In relation to agency law, explain the creation of various types of agency and analyse how they can be applied to the case of Raymond and John.**

(5 marks)
- (b) Apply employment law and analyse the employment status of John in relation to the shop.**

(5 marks)
- (c) Apply anti-corruption laws and analyse what law(s) and provision(s) have been violated by Raymond and John.**

(5 marks)

Question 6 (15 marks – approximately 27 minutes)

Billy and Donald have been running a very successful construction business in Hong Kong in the form of a private limited company incorporated in Hong Kong. Billy and Donald plan to list the company on the Main Board of the Hong Kong Stock Exchange and offer the shares of the company to the public.

The lawyer of the company advised Billy and Donald that they have to comply with the listing requirements under the Listing Rules of the Hong Kong Stock Exchange for the purpose of listing on the Hong Kong Stock Exchange.

However, Billy and Donald do not understand the listing requirements under the Main Board Listing Rules of the Hong Kong Stock Exchange.

Required:

In relation to Listing Rules of the Hong Kong Stock Exchange (You are not required to discuss company law):

(a) Explain the roles of the Hong Kong Stock Exchange. (5 marks)

(b) Describe the Main Board listing requirements for the purpose of listing on the Hong Kong Stock Exchange. (10 marks)

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